

A solid quarter

Resilient evergreen titles drive margin expansion; maintain Buy

An appealing defensive stock underpinned by resilient game business and sustained shareholder return; maintain Buy

NetEase delivered a solid 2Q26 operating print. Total revenue rose 8% y-y to CNY30.1bn, coming in 3% above our estimate. Operating profit surged 33% y-y to CNY12.1bn, beating our forecast by 12% and the Bloomberg consensus by 13%. The primary operational highlight was the operating margin, which expanded 7.7ppt y-y to 40.2%, beating our estimate by 3.1ppt. This strength was driven by broad-based gross margin improvement, particularly robust expansion within the gaming segment, coupled with positive operating leverage.

Conversely, the main drag on the quarter was non-GAAP net profit, which fell 19% y-y to CNY7.7bn, missing our estimate by 18% and the consensus by 24%. This bottom-line shortfall was largely caused by non-operating items: a higher effective tax rate of 25.5%, compared to 14.7% last year and our 18.0% forecast, alongside investment losses of nearly CNY3bn. We believe these losses were likely related to the company's marked-to-market holdings of Pinduoduo (PDD US, Neutral) and Alibaba (BABA US, Buy) shares. Additionally, reported deferred revenue decreased 11.5% q-q, reflecting softer seasonal patterns.

Following the 2Q results, we raise FY26F and FY27F non-GAAP operating profit forecasts by 12% and 10%, respectively, to reflect our higher margin assumptions. Our FY26F non-GAAP EPS remains largely unchanged, as the higher operating profit is offset by the 2Q investment losses and an elevated full-year tax rate assumption of 20.0%, up from our previous 17.0% estimate. Meanwhile, our FY27F non-GAAP EPS is lifted by 5%. We maintain our Buy rating and slightly raise our target price to USD157 from USD155. This new target implies a 14.5x FY27F P/E, down from 15.1x previously, reflecting the recent sector multiple de-rating. The stock currently trades at 12x FY27F P/E. Backed by resilient evergreen gaming franchises and sustained capital returns, NetEase remains an attractive defensive stock, in our view.

Evergreen titles remain resilient; games' margin likely plateaus

NetEase' core evergreen titles continue to demonstrate enduring franchise durability. PC *FWJ* remained a key revenue and gross margin driver in recent quarters, though we expect its growth to normalize from 3Q26 onwards as the classic version laps its one-year anniversary. Eggy Party sustained over 100mn MAU and set new peak DAU records this summer, successfully transitioning into a user-generated content (UGC) and light-content platform supported by a sticky player base. *(Continued on page 4...)*

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	112,626	119,723	119,999	128,358	128,459	134,258	134,257	
Reported net profit (mn)	33,760	38,394	37,859	41,864	44,067	44,072	45,989	
Normalised net profit (mn)	37,344	40,742	40,733	44,386	47,149	46,712	49,210	
FD normalised EPS	58.02	63.62	63.29	69.66	73.40	73.68	76.76	
FD norm. EPS growth (%)	11.9	9.6	9.1	9.5	16.0	5.8	4.6	
FD normalised P/E (x)	15.8	—	13.8	—	11.9	—	11.4	
EV/EBITDA (x)	13.8	—	10.0	—	8.6	—	7.3	
Price/book (x)	3.6	—	3.0	—	2.6	—	2.2	
Dividend yield (%)	2.3	—	2.7	—	3.2	—	3.3	
ROE (%)	22.6	22.1	21.8	20.9	21.9	19.3	19.9	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains **Buy**

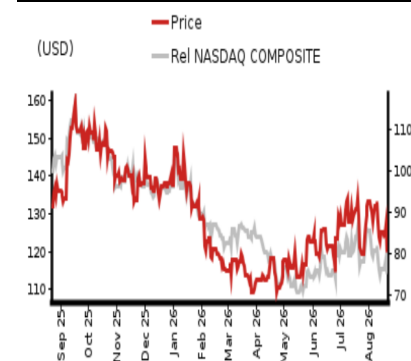
Target price Increased from USD 155.00 **USD 157.00**

Closing price 21 August 2026 **USD 128.17**

Implied upside **+22.5%**

Market Cap (USD mn) 82,060.8
ADT (USD mn) 128.4

Relative performance chart



Source: LSEG, Nomura

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Key data on NetEase

Performance

(%)	1M	3M	12M		
Absolute (USD)	-1.1	12.1	-2.8	M cap (USDmn)	82,060.8
Absolute (USD)	-1.1	12.1	-2.8	Free float (%)	55.6
Rel to NASDAQ COMPOSITE	-2.4	12.5	-26.9	3-mth ADT (USDmn)	128.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	105,295	112,626	119,999	128,459	134,257
Cost of goods sold	-38,302	-39,219	-35,566	-37,953	-39,965
Gross profit	66,993	73,406	84,434	90,506	94,292
SG&A	-33,526	-33,924	-34,320	-36,482	-37,726
Employee share expense	-3,883	-3,648	-2,937	-3,146	-3,285
Operating profit	29,584	35,835	47,176	50,877	53,280
EBITDA	32,002	38,082	49,571	53,441	55,960
Depreciation	-2,418	-2,247	-2,395	-2,563	-2,679
Amortisation					
EBIT	29,584	35,835	47,176	50,877	53,280
Net interest expense	4,921	3,953	4,000	4,000	4,000
Associates & JCEs	355	732	-3,000	0	0
Other income	858	311	28	1,087	1,087
Earnings before tax	35,718	40,830	48,204	55,964	58,367
Income tax	-5,461	-6,033	-9,641	-11,193	-11,673
Net profit after tax	30,256	34,798	38,563	44,771	46,694
Minority interests	-559	-1,038	-704	-704	-704
Other items	3,813	3,584	2,874	3,082	3,221
Preferred dividends					
Normalised NPAT	33,511	37,344	40,733	47,149	49,210
Extraordinary items	-3,813	-3,584	-2,874	-3,082	-3,221
Reported NPAT	29,698	33,760	37,859	44,067	45,989
Dividends	-11,879	-13,504	-15,144	-17,627	-18,396
Transfer to reserves	17,819	20,256	22,715	26,440	27,594

Valuations and ratios

Reported P/E (x)	20.1	17.4	14.8	12.7	12.1
Normalised P/E (x)	17.8	15.8	13.8	11.9	11.4
FD normalised P/E (x)	17.8	15.8	13.8	11.9	11.4
Dividend yield (%)	2.0	2.3	2.7	3.2	3.3
Price/cashflow (x)	15.0	11.6	9.3	21.1	7.9
Price/book (x)	4.3	3.6	3.0	2.6	2.2
EV/EBITDA (x)	16.7	13.8	10.0	8.6	7.3
EV/EBIT (x)	18.1	14.7	10.6	9.0	7.7
Gross margin (%)	63.6	65.2	70.4	70.5	70.2
EBITDA margin (%)	30.4	33.8	41.3	41.6	41.7
EBIT margin (%)	28.1	31.8	39.3	39.6	39.7
Net margin (%)	28.2	30.0	31.5	34.3	34.3
Effective tax rate (%)	15.3	14.8	20.0	20.0	20.0
Dividend payout (%)	40.0	40.0	40.0	40.0	40.0
ROE (%)	22.6	22.6	21.8	21.9	19.9
ROA (pretax %)	19.7	23.5	27.0	30.1	30.6

Growth (%)

Revenue	1.8	7.0	6.5	7.1	4.5
EBITDA	4.0	19.0	30.2	7.8	4.7
Normalised EPS	3.4	11.9	9.1	16.0	4.6
Normalised FDEPS	3.4	11.9	9.1	16.0	4.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	32,002	38,082	49,571	53,441	55,960
Change in working capital	-9,958	-10,374	21,806	-17,909	23,796
Other operating cashflow	17,633	23,031	-10,829	-9,016	-9,208
Cashflow from operations	39,677	50,740	60,548	26,515	70,547
Capital expenditure	-2,206	-2,052	-1,135	-1,215	-1,270
Free cashflow	37,470	48,687	59,413	25,300	69,277
Reduction in investments	25,415	-17,198	-5,000	-5,000	-5,000
Net acquisitions					
Dec in other LT assets	1,011	1,773	0	0	0
Inc in other LT liabilities	-169	112	0	0	0
Adjustments	-6,134	-15,816	5,000	5,000	5,000
CF after investing acts	57,593	17,558	59,413	25,300	69,277
Cash dividends	-11,165	-13,826	-14,324	-16,385	-18,011
Equity issue	0	0	0	0	0
Debt issue	-7,476	-5,799	0	0	0
Convertible debt issue					
Others	-8,688	-917	0	0	0
CF from financial acts	-27,330	-20,541	-14,324	-16,385	-18,011
Net cashflow	30,264	-2,982	45,089	8,915	51,266
Beginning cash	24,206	54,470	51,487	96,576	105,491
Ending cash	54,470	51,487	96,576	105,491	156,757
Ending net debt	-54,470	-51,487	-96,576	-105,491	-156,757

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	54,470	51,487	96,576	105,491	156,757
Marketable securities	75,441	92,639	97,639	102,639	107,639
Accounts receivable	5,669	5,338	5,183	6,080	5,691
Inventories					
Other current assets	17,745	31,151	14,876	34,396	17,100
Total current assets	153,325	180,615	214,274	248,606	287,187
LT investments	0	0	0	0	0
Fixed assets	8,520	8,425	7,166	5,818	4,409
Goodwill					
Other intangible assets					
Other LT assets	34,147	32,374	32,374	32,374	32,374
Total assets	195,992	221,415	253,814	286,798	323,970
Short-term debt					
Accounts payable	721	643	2,361	845	2,530
Other current liabilities	48,947	51,726	55,384	59,407	63,833
Total current liabilities	49,668	52,369	57,745	60,252	66,363
Long-term debt					
Convertible debt	0	0	0	0	0
Other LT liabilities	3,830	3,942	3,942	3,942	3,942
Total liabilities	53,497	56,311	61,687	64,194	70,306
Minority interest	3,809	4,808	5,512	6,216	6,921
Preferred stock					
Common stock	3	3	3	3	3
Retained earnings	118,454	136,251	160,931	188,219	217,807
Proposed dividends	11,879	13,504	15,144	17,627	18,396
Other equity and reserves	8,350	10,538	10,538	10,538	10,538
Total shareholders' equity	138,686	160,296	186,615	216,387	246,744
Total equity & liabilities	195,992	221,415	253,814	286,798	323,970

Liquidity (x)

Current ratio	3.09	3.45	3.71	4.13	4.33
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	45.96	52.45	58.82	68.60	71.74
Norm EPS (CNY)	51.86	58.02	63.29	73.40	76.76
FD norm EPS (CNY)	51.86	58.02	63.29	73.40	76.76
BVPS (CNY)	216.67	251.53	292.83	340.22	388.73
DPS (CNY)	18.56	21.19	23.76	27.71	28.98

Activity (days)

Days receivable	21.0	17.8	16.0	16.0	16.0
Days inventory	0.0	0.0	0.0	0.0	
Days payable	7.6	6.3	15.4	15.4	15.5
Cash cycle	13.3	11.5	0.6	0.6	0.6

Source: Company data, Nomura estimates

Company profile

NetEase is one of the largest game developers and publishers in China. The company also provides a variety of other services including music streaming, live broadcasting, news service, and education service, among others.

Valuation Methodology

We value the company's online gaming business at US\$74bn based on 17x FY27F P/E. We value NTES' music business at US\$2bn based on its latest market cap. The resulting TP is US\$157. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles like FWJ.

ESG

NetEase's business is environment-friendly as it does not cause pollution or generate greenhouse gas.

(... Continued from page 1)

However, the recent launch of *Sea of Remnants* (SoR) has underperformed market expectations. Management acknowledged this shortfall, noting that the team is actively refining the beginner experience and optimizing content for retained core players. An anticipated near-term update for SoR could help re-engage lapsed gamers. Looking ahead, management highlighted three upcoming titles in the pipeline: *Beneath the Mist*, *Shadowveil*, and *ANANTA*. We view *ANANTA* as the most promising project in the slate, and management indicated its development remains on track, although they stopped short of providing a concrete release timeline.

The impressive 5.9ppt y-y expansion in the gaming gross margin was structurally driven by an increased mix of higher-margin PC games, a reduced reliance on lower-margin licensed titles, and lower channel commissions paid to iOS and Android app stores. Management emphasized that while channel optimization is an ongoing priority, incremental margin gains from this avenue will likely moderate. Consequently, we expect the gaming gross margin to stabilize around the current 76% level in the second half of the year. This still represents substantial y-y expansion, though it suggests margins will plateau rather than continue the rapid sequential growth seen over the past few quarters.

Fig. 1: NTES: 2Q26 results review

2Q26 results review									
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.	NMR Est	vs NMR
Revenues	30,107	30,591	27,892	8%	-2%	29,447	2%	29,291	3%
Gross profit	21,217	21,217	18,052	18%	0%	19,739	7%	19,697	8%
Gross margin	70.5%	69.4%	64.7%	5.8ppt	1.1ppt	67.0%	3.4ppt	67.2%	3.2ppt
Operating profit	12,089	12,657	9,061	33%	-4%	10,654	13%	10,841	12%
Operating margin	40.2%	41.4%	32.5%	7.7ppt	-1.2ppt	36.2%	4.0ppt	37.0%	3.1ppt
Non-GAAP op	12,871	13,273	10,007	29%	-3%	NA	NA	11,431	13%
Non-GAAP op margin	42.8%	43.4%	35.9%	6.9ppt	-0.6ppt	NA	NA	39.0%	3.7ppt
Non-GAAP net profit	7,747	11,275	9,532	-19%	-31%	10,189	-24%	9,411	-18%
Non-GAAP net margin	25.7%	36.9%	34.2%	-8.4ppt	-11.1ppt	34.6%	-8.9ppt	32.1%	-6.4ppt
Non-GAAP EPADS (CNY)	12.02	17.46	14.81	-19%	-31%	15.59	-23%	14.64	-18%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: NTES: Operating metrics review

Segment results								
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	NMR Est	vs NMR	% of Rev
Revenue								
Game and related VAS	25,023	25,713	22,806	9.7%	-2.7%	24,220	3%	83%
Youdao	1,467	1,348	1,418	3.5%	8.8%	1,418	3%	5%
Cloud Music	1,977	1,981	1,969	0.4%	-0.2%	1,988	-1%	7%
Innovative businesses and others	1,639	1,549	1,699	-3.5%	5.8%	1,665	-2%	5%
Total net revenue	30,107	30,591	27,892	7.9%	-1.6%	29,291	3%	100%
Gross profit								
Game and related VAS	19,049	19,231	16,014	18.9%	-0.9%	17,681	8%	
Youdao	717	602	609	17.6%	19.0%	610	18%	
Cloud Music	740	734	710	4.3%	0.8%	716	3%	
Innovative businesses and others	711	650	719	-1.1%	9.4%	691	3%	
Total gross profit	21,217	21,217	18,052	17.5%	0.0%	19,697	8%	
Gross profit margin								
Game and related VAS	76.1%	74.8%	70.2%	5.9ppt	1.3ppt	73.0%	3.1ppt	
Youdao	48.9%	44.7%	43.0%	5.9ppt	4.2ppt	43.0%	5.9ppt	
Cloud Music	37.4%	37.1%	36.1%	1.4ppt	0.4ppt	36.0%	1.4ppt	
Innovative businesses and others	43.4%	42.0%	42.3%	1.1ppt	1.4ppt	41.5%	1.9ppt	
Gross profit margin	70.5%	69.4%	64.7%	5.8ppt	1.1ppt	67.2%	3.2ppt	

Source: Company data, Nomura estimates

Fig. 3: NTES: Revisions to our earnings estimates

Nomura new estimates vs old						
(CNYmn except for EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	119,999	119,723	0%	128,459	128,358	0%
Gross profit	83,447	79,119	5%	89,450	85,569	5%
Gross margin	69.5%	66.1%	3.5ppt	69.6%	66.7%	3.0ppt
Non-GAAP operating profit	50,114	44,855	12%	54,023	49,219	10%
Non-GAAP op margin	41.8%	37.5%	4.3ppt	42.1%	38.3%	3.7ppt
Non-GAAP net profit	40,733	40,742	0%	47,149	44,386	6%
Non-GAAP net margin	33.9%	34.0%	-0.1ppt	36.7%	34.6%	2.1ppt
Non-GAAP EPADS (CNY)	63.29	63.62	-0.5%	73.40	69.66	5%

Source: Nomura estimates

Fig. 4: NTES – Capital returns

Company Name	Market cap (USD mn)	Net cash (USDmn)	Cash as % of market cap	Buyback value (1H26, USDmn)	Dividend paid in 1H26 (USDmn)	Combine cash capital return (1H26, USDmn)	Total capital return as % of market cap	Outstanding repurchase commitment (USDmn)	Repurchase commitment as % of market cap
NetEase	82,061	24,686	30%	324	1,210	1,534	1.9%	2,700	3.3%

Note: Market cap as of 21 August 2026

Source: Company data, Bloomberg Finance L.P., Nomura research

Fig. 5: NTES: SOTP model

	Valuation (USD bn)	Stake	Attributable valuation (USD bn)	Valuation methodology	Note
Online games	74	100%	74	17x FY27F P/E (vs 17x FY26F P/E previously)	in line with global peers' average
Cloud Music (9899 HK, not rated)	3.0	59%	1.8		In line with the latest market cap for Cloud Music
NetEase Youdao (DAO US, not rated)	2.2	57%	1.2		Based on Youdao's latest market cap
Gross EV			77		
Holding discount*			30%		
Net EV			75.9		
Net Cash			25		
Market cap			101		
TP (USD)			157		

Note: The holding discount only applies to the Cloud Music and Youdao businesses.

Note: Market cap for Cloud Music and Youdao as of 20 August 2026.

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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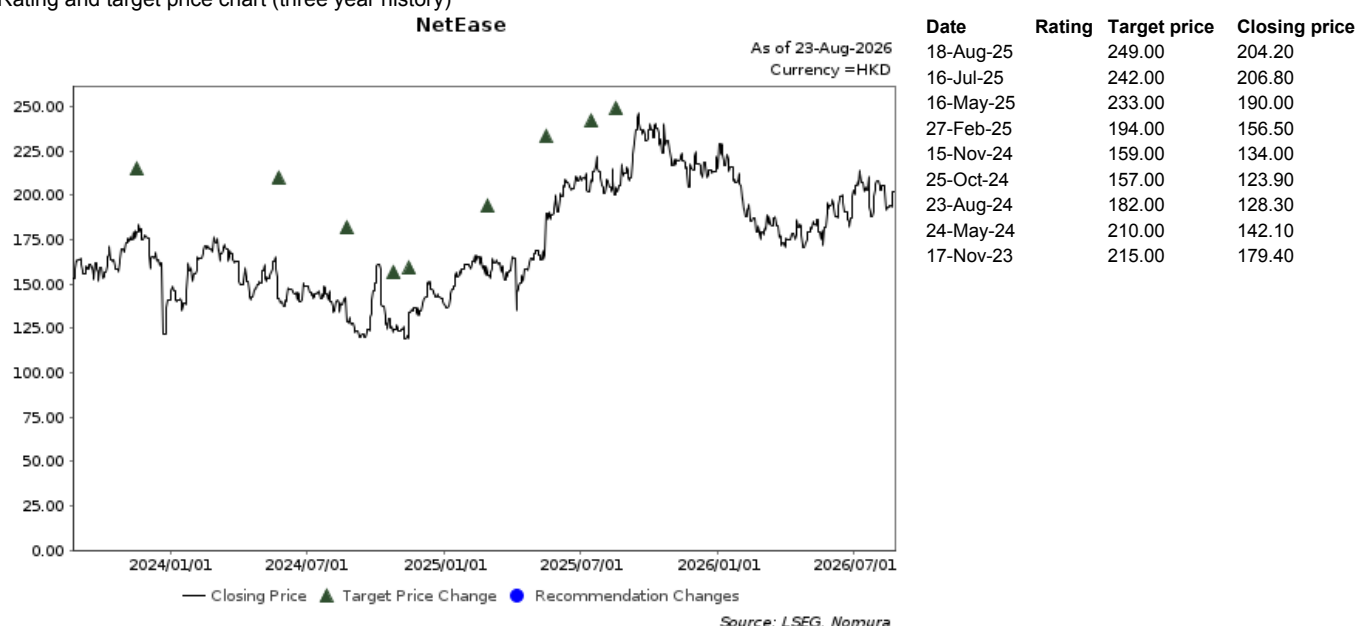
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NetEase	9999 HK	HKD 202.00	21-Aug-2026	Buy	N/A	A10
NetEase	NTES US	USD 128.17	21-Aug-2026	Buy	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

NetEase (9999 HK)

HKD 202.00 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



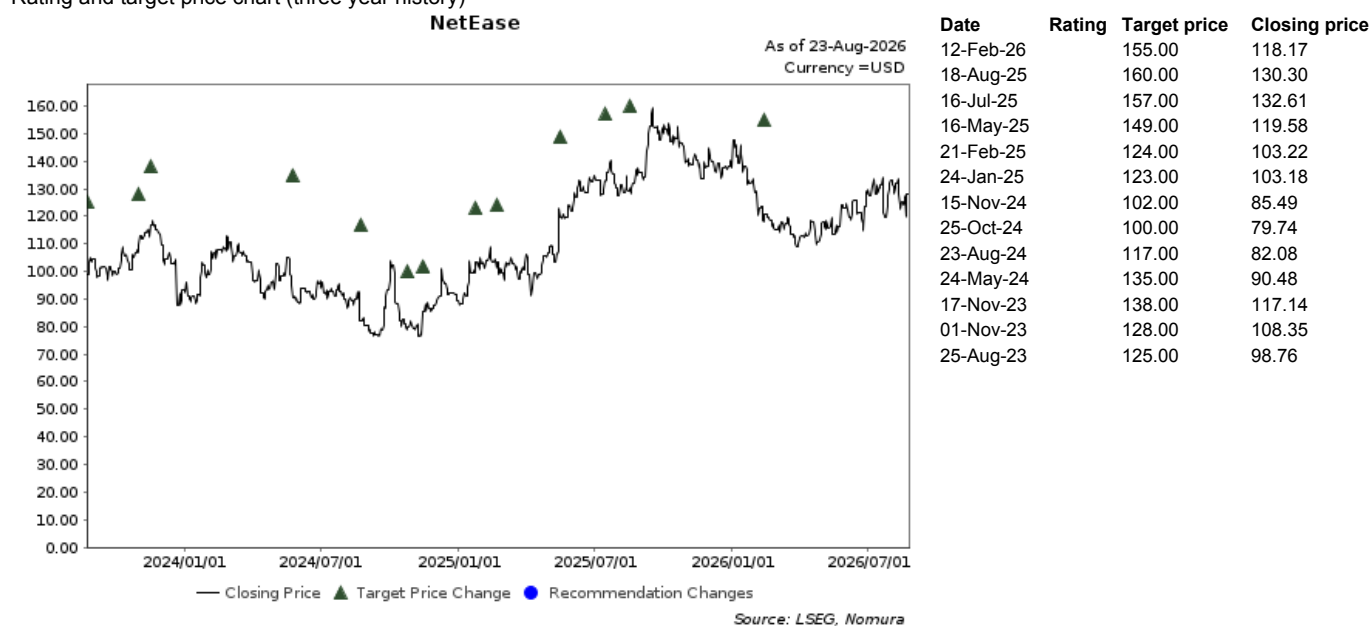
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US\$78bn based on 17x FY26F P/E. We value NTES' music business at USD4.2bn based on its latest market cap. The resulting TP is HKD249. The benchmark index for the company is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) bigger margin contraction from incubated businesses; and 2) lower-than-expected grossing of legacy mobile titles like FWJ.

NetEase (NTES US)**USD 128.17 (21-Aug-2026) Buy (Sector rating: N/A)**

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US\$74bn based on 17x FY27F P/E. We value NTES' music business at US\$2bn based on its latest market cap. The resulting TP is USD157. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles like FWJ.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an

appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

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SECTORS

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Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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